

The complaint

Miss A complains that HSBC UK Bank Plc will not reimburse all the funds she lost to a scam.

Miss A is represented by Mrs A, for ease I have only referred to Miss A in my decision.

What happened

Miss A says she was introduced to an investment opportunity by an acquaintance. And between August and November 2024 she made several international payments totalling £13,700 towards the scam. When she realised it had been a scam she reported the matter to HSBC.

HSBC thought it could have done more to protect Miss A, but it thought Miss A was equally as liable for her losses and as such it reimbursed 50% of the loss incurred.

Our Investigator thought its offer was fair, she did not think there was evidence Miss A took sufficient measures to avert the risk. However, Miss A did not accept our Investigator's findings and says she was vulnerable at the time.

As an agreement could not be reached, the complaint has been passed to me for a final decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I recognise that I have summarised this complaint in much less detail than has been provided. I want to reassure both parties that I have taken their detailed submissions into consideration. If there's anything I haven't addressed it isn't because I've ignored it, I haven't. Rather, I've focused on setting out what is key to the decision I have made.

Firstly I am sorry to hear that Miss A was the victim of such a cruel scam. I want to thank her for sharing openly about the challenges she has faced with her health and financially. And I sympathise. However I must put aside my feelings of sympathy and consider the complaint impartially. Having done so, I agree with the outcome reached by the Investigator and for similar reasons. I'll explain why.

HSBC accepts that it made errors and it should have done more to protect Miss A. So I will not comment on this further. It has reimbursed 50% of the outstanding loss she incurred as a result of the scam. What I must decide is whether it has done enough to compensate Miss A.

When considering a complaint I must look at the actions of both parties, therefore I have thought about whether Miss A acted negligently and should also bear some responsibility for the losses she experienced.

I accept HSBC has greater knowledge of scams and it has a duty to protect its customers from financial harm resulting from fraud or a scam, but I would also expect Miss A to take

reasonable care to mitigate against losses. I appreciate that there were aspects of the scam that would have appeared genuine and I do not take away from the fact that Miss A has been the victim of a scam. However I'm not persuaded she acted reasonably for the following reasons:

Miss A said she suffered a loss from investments and scams she fell victim to prior to 2024. Considering this, I would expect Miss A to have proceeded more cautiously and conducted more in-depth independent research into the investment before proceeding.

Miss A said all communication with the scammers was through WhatsApp which is an unusual method of communication for a professional investment firm. She said the scammers told her not to mention that she was making an investment if questioned by her bank. I would not expect a legitimate investment advisor to encourage a client to lie to their bank. So I think this ought to have been a concern.

Miss A made international payments to two different accounts, one in Italy and the other in Spain. I think this in itself should have appeared unusual and raised concerns. It appears that the payments were made to a personal account and to an unrelated business account. This should have been a red flag to Miss A and made her stop.

I find the return on the investment she was expecting was unrealistic and should have raised suspicions that it was most likely too good to be true.

Miss A also made payments towards the scam from an account held with another business I'll refer to as R. And R evidenced that Miss A gave inaccurate information when questioned about the purpose and circumstances of the transactions. This makes it difficult and can at times prevent businesses from uncovering a scam or providing appropriate warnings.

Miss A's conversations with the scammers also show that she was actively trying to circumvent restrictions by her main high street banks by using R to make cryptocurrency payments.

Importantly, Miss A's conversations with the scammers show Miss A had concerns it was a scam in October 2025, yet despite this she made further payments in November 2025.

I have taken into account that Miss A says she was vulnerable at the time and I accept that she had several health concerns and was not able to work. She explained that she was also facing other challenges in her personal life. There is no question that this was a difficult time for her. However, what I need to consider is whether her circumstances impaired her ability to identify the warning signs that she might be falling victim to a scam. I do not think they did. As I mentioned Miss A indicated that she had concerns it was a scam in October 2024. I also note that in August Miss A was suspicious when she could not access the app and showed concern that it appeared the app worked differently for different people.

I am by no means blaming Miss A for what happened, and I appreciate she was the victim of a cruel scam, but I must remain impartial in my decision. Considering the multiple concerning factors present from the outset and throughout the scam, I find Miss A could have done more to mitigate her losses – particularly as the evidence shows she did have concerns but failed to act on it. Ultimately, I am not persuaded that Miss A acted reasonably in the circumstances; therefore I find it fair and reasonable that she shares equal responsibility for the loss incurred.

As these were international payments I find there were no realistic prospects of HSBC recovering this money. Nevertheless it attempted to recall the payments but its request was rejected.

HSBC reimbursed 50% of the loss incurred from the international payments made towards the scam, that is £6,850. It also agreed to reimburse an additional £500; this is to account for 50% of a transfer of £1,000 Miss A made to her account with R, which was ultimately lost to the scam and I think that is both fair and reasonable.

My final decision

HSBC UK Bank Plc has already agreed to pay an additional £500 to settle the complaint and I think this offer is fair in all the circumstances.

So my decision is that HSBC UK Bank Plc should pay £500 if it has not already done so.

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss A to accept or reject my decision before 4 August 2026.

Oluwatobi Balogun
Ombudsman